

fund's share price will move up or down in response to changes in interest rates.

Back-End Load A sales fee charged by some mutual funds when an investor sells fund shares. Also called a *contingent deferred sales charge*.

Benchmark Index An index that correlates with a fund; used to measure a fund manager's performance.

Beta A measure of the magnitude of a portfolio's past share-price fluctuations in relation to the ups and downs of the overall market (or an appropriate market index). The market (or index) is assigned a beta of 1.00, so a portfolio with a beta of 1.20 would have seen its share price rise or fall by approximately 12 percent when the overall market rose or fell by 10 percent.

Bid-Ask Spread The difference between what a buyer is willing to bid (pay) for a security and the seller's asking (offer) price.

Blue Chip Stocks Common stocks of well-known companies with a history of growth and dividend payments.

Bond Covenant The contractual provision in a bond indenture. A positive covenant requires certain actions, and a negative covenant limits certain actions.

Book Value A company's assets, minus any liabilities and intangible assets.

Broker/Broker-Dealer An individual or firm that buys or sells mutual funds or other securities for the public.

Capital Gain/Loss The difference between the sale price of an asset—such as a mutual fund, stock, or bond—and the original cost of the asset.

Capital Gains Distributions Payments to mutual fund shareholders of gains realized during the year on securities that the fund has sold at a profit, minus any realized losses.

Cash Investments Short-term debt instruments—such as commercial paper, banker's acceptances, and Treasury bills—that mature in less than one year. Also known as *money market instruments* or *cash reserves*.